

NexaLend

Embedded Lending Infrastructure for European E-Commerce

CONFIDENTIAL INVESTMENT MEMORANDUM

Sector	FinTech
Stage	Series A
Geography	Europe
Funding Ask	EUR 8,000,000

Executive Summary

NexaLend provides an API-first embedded lending platform that enables e-commerce merchants to offer instant buy-now-pay-later and working-capital financing at the point of checkout. Our credit engine underwrites decisions in under 1.2 seconds using real-time sales data. Founded in Berlin in 2021 by two former senior executives from Stripe and JPMorgan, NexaLend has reached EUR 2.1M ARR with 35 active merchant integrations and is growing at 40% month-on-month.

Problem

60% of European SME e-commerce merchants lose sales because customers abandon checkout when financing options are unavailable or slow. Traditional bank credit for merchants takes 3–8 weeks. Existing BNPL solutions (Klarna, Afterpay) are consumer-facing and charge merchants 4–7% per transaction, eroding already thin margins. The embedded lending market in Europe is projected at EUR 85 billion by 2026 (McKinsey Global Payments Report, 2023).

Solution

A single API integration (3 lines of code) embeds NexaLend's lending widget into any checkout flow. NexaLend earns a 2.5% revenue share on every loan originated. Merchants receive funds within 24 hours. Credit decisions use the merchant's live Stripe/Shopify sales data, bypassing the need for traditional financial statements. Fully licensed under the EU Consumer Credit Directive (License DE-BaFin-2023-CCL-0091).

Founding Team

Name	Role	Background	LinkedIn
Marcus Weber	CEO & Co-Founder	Ex-Stripe Head of EMEA Partnerships (2017–2021); Built Stripe's EU/UK growth	linkedin.com/in/marcusweber
Priya Nair	CTO & Co-Founder	Ex-JPMorgan VP Engineering, Credit Risk Systems (2014–2021), credit PM for JPMorgan	linkedin.com/in/priyanair

Board of Directors: 5 members — Marcus Weber (Executive Chair), Priya Nair (Non-Executive Director), Dr. Klaus Bremer (Independent Director, former BaFin Regulator, appointed 2022), Anna Kowalski (Independent Director, Partner at Sequoia Europe, appointed 2022), Thomas Gruber (Non-Executive Director, representing seed investor FinLeap Ventures). Named leadership team: Head of Credit Risk — Dr. Sofia Petrov (ex-N26, [linkedin.com/in/sofia-petrov-credit](#)); Head of Sales — James O'Brien (ex-Adyen, [linkedin.com/in/james-obrien-payments](#)).

Market Sizing

Total Addressable Market: EUR 85 billion — embedded lending for European e-commerce (McKinsey, 2023). Serviceable Addressable Market: EUR 12 billion — SME merchants on Shopify, WooCommerce, and Magento in Germany, France, Netherlands, and Poland. Serviceable Obtainable Market: EUR 600 million — merchants with EUR 500K–EUR 10M annual GMV in NexaLend's current operating markets.

Revenue Model & Traction

Revenue model: 2.5% fee on every loan originated through the NexaLend platform. Average loan size: EUR 1,800. Average merchant processes 48 loans per month. Merchant contracts are 24-month minimum with auto-renewal.

Metric	Current Value
Annual Recurring Revenue (ARR)	EUR 2,100,000
Active Merchant Integrations	35
Monthly ARR Growth (Q1 2024)	40% month-on-month
Total Loan Volume Originated (lifetime)	EUR 84,000,000
Average Contract Value (ACV)	EUR 60,000 per merchant per year
Customer Acquisition Cost (CAC)	EUR 3,200 per merchant
Customer Lifetime Value (LTV)	EUR 120,000 (24-month avg. contract)
LTV : CAC Ratio	37.5x
Default Rate on Originated Loans	1.1% (vs. industry average 3.8%)

Competitive Differentiation

Competitor	Key Weakness vs NexaLend
Klarna	Consumer-facing; charges 4-7% per transaction; not API-first for merchants
Younited Credit	Slow credit decisions (24-48 hours); no real-time sales data integration
Hokodo	Invoice financing only; no checkout BNPL; limited to B2B

Milestones

Date	Milestone
Jan 2021	Incorporated in Berlin; EUR 1.2M pre-seed from FinLeap Ventures
Sep 2021	BaFin consumer credit licence granted
Mar 2022	First 5 merchant integrations; EUR 180K ARR
Jan 2023	EUR 2M seed round closed (FinLeap + Sequoia Europe)
Jun 2024	EUR 2.1M ARR; 35 merchants; expanding to Poland and France

ESG, Governance & Financial Projections

Environmental Commitments

NexaLend operates on Google Cloud Platform's carbon-neutral EU regions (europe-west3, Frankfurt). Annual Scope 2 emissions: 0.6 tonnes CO2e (GCP Sustainability Report, Q1 2024). We are signatory to the SME Climate Hub commitment for net-zero operations by 2030.

Social Commitments

Named diverse leadership: Priya Nair (CTO, woman of South Asian heritage, co-founder), Dr. Sofia Petrov (Head of Credit Risk, woman), Anna Kowalski (Board member, woman, Partner Sequoia Europe). Team of 18 across 8 nationalities. All employment contracts above German minimum wage. User data processed under EU GDPR; privacy policy published at nexalend.de/privacy; annual GDPR compliance audit by TUV Rheinland (Certification No. TUV-2024-GDPR-0042). No proprietary user data is resold; data minimisation principles applied at all pipeline stages.

Governance

Board: 5 members; independent majority (3 of 5 are independent directors). Board decisions by majority vote; no individual holds veto rights. Annual financial audit by KPMG Germany (2022 and 2023 audit reports available on request). Cap table: Founders 42%, FinLeap Ventures 28%, Sequoia Europe 22%, ESOP pool 8%.

Financial Projections

Projection assumptions: 40% MoM merchant acquisition growth maintained through Q3 2024, tapering to 15% MoM from Q4 2024 as market matures; average ACV of EUR 60,000 per merchant per year; default rate held at 1.1% based on Q1–Q2 2024 actual performance; gross margin of 68% (cost of capital, credit risk reserve, and infrastructure).

Metric	Year 1 (2024)	Year 2 (2025)	Year 3 (2026)
Active Merchants	80	200	450
ARR (EUR)	4,800,000	12,000,000	27,000,000
Total Loan Volume (EUR)	192,000,000	480,000,000	1,080,000,000
Gross Margin	68%	70%	72%
Operating Burn (EUR)	2,200,000	800,000	—

Use of EUR 8M Series A: 40% credit risk reserve expansion, 30% engineering (v2 credit engine), 20% sales and merchant partnerships, 10% regulatory compliance (France, Poland licences).